



Book 3: Operations



Cynqra Operations Book, v0.1. This book answers: how does the company run? Failures, liability, money, compliance. Owner: COO. Book 0 defines the doctrine. This book defines how we operate when reality bites.

1. Operating principles
2. Failure and incident operations
 - Severity ladder
 - Standing mechanisms
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3. Trust, liability and legal posture
4. Support model (MVP)
5. Human workforce policy
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1. Operating principles

1. **The founder's company is sacred.** Their data, their money, their reputation. We operate so that no Cynqra failure becomes an existential founder failure.
2. **Machine speed needs machine brakes.** Automated systems fail fast. Our brakes have to be faster.

3. **Every incident becomes doctrine.** Failures feed the Failure Flow (Book 0 §13) and this book.

2. Failure and incident operations

Severity ladder

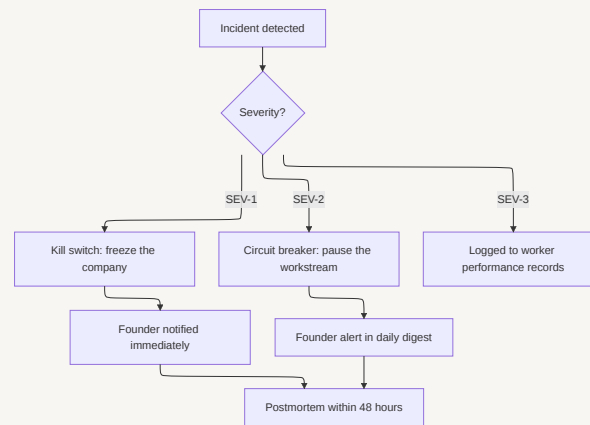
Level	Definition	Examples	Response
SEV-1	Real world damage or an irreversible action	Bad deploy live to customers, money spent wrongly, external message sent	Kill switch → freeze the company → founder notified immediately → postmortem within 48 hours
SEV-2	Wasted resources, no external damage	Worker loop burning budget, failed milestone	Circuit breaker → pause the workstream → founder alert in the daily digest
SEV-3	Quality failures caught by verification	Rework loops, wrong output rejected	Logged and fed into worker performance records (Book 0 §13)

Standing mechanisms

- **Kill switch.** One action freezes all workers across a company, or the platform, mid task. Tested monthly.
- **Budget circuit breaker.** Hard cap per company (Book 1 P0 #10), warnings at 50%, 80% and 95%.
- **Action rate limits.** Per worker and per tool ceilings. Bursts require policy elevation.
- **Rollback.** Code via git, infra via IaC, org and config via stored prior state (Book 0 §14).

Postmortem rule

Every SEV-1 and SEV-2 produces a blameless postmortem: what happened, what the system believed, what authority it had, why the defenses did not fire, what changes. Postmortems are appended to this book.



3. Trust, liability and legal posture

These are positions to ratify with counsel before the first paying customers. They are not final legal advice.

1. **The founder is the principal.** All workers act under the founder's delegated authority. Cynqra is a tool, not a legal actor. The Terms of Service must say this plainly.
2. **The founder owns outputs:** code, documents, designs, decision history (Book 0 §20).
3. **High risk actions require named human approval.** This creates a clear accountability chain, and the audit record to prove it.
4. **No autonomous legal or financial commitments in the MVP.** No contracts signed, no money moved, no external messages sent without founder approval. At any autonomy level, ever.
5. **Insurance and entity structure:** revisit at first revenue.

4. Support model (MVP)

Support is founder led through a single channel (shared inbox or Slack Connect). Target: same day response. Every support conversation is mined for canon gaps. A confused customer is a missing page.

5. Human workforce policy

Deferred. Book 0 §19 treats humans and AI workers as one capability system, but humans are not API callable. Notice periods, labor law, motivation, payroll. Operating human workers is a staffing marketplace business, and we are not starting that yet.

- **MVP and Phase 2:** AI workers only. External services are reached through tools, not employment.
- **Trigger to revisit:** a paying customer explicitly asks for human in org workflows and Phase 2 metrics hold.
- **When we do it,** it gets its own chapter here: sourcing, vetting, contracting, payment, labor law review, and HR safe language. The system says "replaced". Humans must never see that word.

6. Unit economics

Cost per company run. We measure from the first real run, and Spike S2 seeds the model.

Cost line	Driver	MVP target
Model inference	Tokens per task × tasks per run	Tracked per company from day one
Worker runtime compute	Container minutes	Tracked
Tools and infra	Deploy targets, storage, bandwidth	Tracked
Human attention (ours)	Support and interventions we perform	Tracked

Cost line	Driver	MVP target
Total cost per company month	Sum	Must stay under 30% of what a freelance team charges for the same output (Book 1 kill criterion)

The gross margin target comes out of this table. Pricing follows the cost model, not the other way around (Book 1 §8, question 2).

7. Compliance and data roadmap

- **Now:** encryption at rest and in transit, data deletion on request, full export on request (portability, Book 0 §20), minimal data collection, subprocessors list.
- **At 5 paying companies:** formal privacy policy review, GDPR basics (DPA, retention policy).
- **At enterprise interest or \$10k MRR:** SOC 2 Type I, then Type II.
- **Never:** training cross company models on a founder's private company data without explicit opt in. See the open doctrine tension (Book 0 §30, Book 4 Decision Log D-7).

8. Portability commitment

The export bundle per company: full repos, documents and designs, decision history, event log, organizational configuration, infrastructure config. Standard documented formats that can be imported elsewhere. SLA: export delivered within 48 hours of request, self serve by Phase 2. We keep customers by being good, not by locking doors.

9. Regulatory-first strategy

Raised in the bench review: our governance stack is regulation, pre-built. So we meet the regulators before they mandate.

1. **This year:** share Book 2 (security and sandbox model) and Book 3 (incident and liability posture) with the bodies shaping rules for AI labor: NIST (AI RMF),

ISO/IEC 42001 workstreams, and the EU AI Act implementation groups. Offer the canon as a reference architecture for auditable AI organizations.

2. **Positioning:** when enterprises must prove named human accountability, action logs and reversibility for AI workers, Cynqra already ships it as a feature. Compliance is a sales asset, not a cost center.
3. **Language policy:** the system internally says "worker.replaced". No human ever sees that vocabulary, and we track emerging norms around persistent AI workers so the product looks prescient in five years, not careless.
4. **Deliverable:** a public "Operating AI Workforces" reference paper, adapted from Books 2 and 3, published before the first paid pilots.
5. **Incident transparency.** If a Cynqra-run company causes public harm, the headline will say Cynqra regardless of the legal structure. So we act like it: SEV-1 incidents affecting customers or the public get a published disclosure within 72 hours, and we carry insurance sized to the worst plausible run, not the average one (underwriting begins at first revenue, §3).

Version history: v0.3. §9 extended with the incident transparency standard (benchmark 3). v0.2: added §9, regulatory-first strategy. v0.1: first draft, legal positions pending counsel.

Book 3: Operations — Production Build Addendum v0.4

Book 3 remains the operations source of truth.

Purpose: convert existing operating principles into production gates and operational records without changing the current legal or compliance posture.

Production operating boundary

Book 3's legal positions remain positions to be ratified with counsel before first paying customers. This addendum does not provide legal advice or convert those positions into legal conclusions.

Before first external pilot	Founder approval boundaries, privacy/data handling, support channel, incident response, export, deletion, subprocessors, and production access are operationally documented.
Before first paying customer	Counsel has ratified the Terms/authority posture, data processing/retention position, customer contract posture, and any required insurance/entity actions.
At 5 paying companies	Formal privacy policy review, DPA/retention work and GDPR basics per existing roadmap.
At enterprise interest or \$10k MRR	SOC 2 Type I, then Type II, per existing roadmap.

Incident record contract

`incident_id, company_id, severity, triggering_event_id, triggering_action_id, detected_at, containment_action, authority_snapshot, policy_decision, root_cause, failed_control, customer_impact, remediation, regression_test, resolved_at, postmortem_ref`

Existing SEV-1/2/3 definitions and response times remain binding. The triggering event/action linkage is required so an incident can be traced back through the immutable audit history.

Data lifecycle and portability

Current commitments remain: encryption at rest and in transit, deletion on request, full export on request, minimal data collection and a subprocessors list. Cross-company learning remains disabled without explicit founder opt-in.

Open Canon decision: the precise treatment of immutable event history when a customer requests deletion is not invented here. Book 4 must record the legal/technical decision before customer data is retained in production.

Export must include the existing promised categories: full repositories, documents/designs, decision history, event log, organizational configuration and infrastructure configuration. The export manifest must identify provider-dependent or non-portable components.

Support and operations controls

- Founder-led support remains the MVP model; same-day target remains the existing operating target.
- Every support interaction that reveals an undocumented behavior becomes a Canon gap candidate.
- Kill switch is tested monthly.
- Budget warnings remain at 50%, 80% and 95%, with a hard company cap.
- Action rate limits exist per worker and tool; bursts require policy elevation.
- SEV-1 and SEV-2 postmortems must record what happened, what the system believed, what authority it had, why defenses did not fire, and what changes.

Economic measurement contract

Cost is attributed per company run and by model inference, worker runtime, tools/infrastructure and human attention. The existing target is total monthly cost below 30% of the comparable freelance-team output cost. Pricing remains deferred

until the cost model has real data.

Every production run must be attributable to a company and execution identifier so cost, outcome and incident data can be joined.